

CMI Battlecard: Microsoft Dynamics 365 Finance

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Competing against Dynamics 365 Finance in Finance-Centric ERP with SAP Cloud ERP

THE COMPANY

Who are they?

- Microsoft is a hyperscaler (CY25 Revenues of ~\$305BB, up 17% YoY). Its segments span Productivity & Business Processes (\$130B, up 15%), Intelligent Cloud (\$120B, up 26%), and More Personal Computing (\$55B, up 3.9%).
- Microsoft is known for its productivity and collaboration offerings, including Microsoft 365: Office 365, Teams, Mobility and Security; and developer tools and technology such as GitHub, Visual Studio, and Azure.
- Microsoft Dynamics (\$8.4B, up 15%) is the company's business application offering across ERP and CRM that spans cloud and on-premise deployments. Most revenue is cloud through Dynamics 365 (\$7.5B, up 19%).
- Microsoft noted in Q4 FY23 that customer experience, service & finance, and supply chain businesses all surpassed \$1B in annual sales.

GO-TO-MARKET

How do they sell?

- Microsoft sells primarily through partners (95% of total revenues). Partners vary in size and geographical presence. Known partners include Avanade, HSO, KPMG, DXC, RSM, and others.
- The company leverages volume license agreements. This includes Enterprise Agreements (EA) through ISV partners for large customers, and its New Commerce Experience (NCE) through CSP partners for midmarket customers. In January 2025, some EA customers will no longer be eligible for EAs and will have to adopt [Microsoft Customer Agreement for Enterprises](#).
- EA agreements span across three years and have a “true up” period in years 1, 2, and 3. NCE agreements default to an annual term, but monthly options (at a 20% premium) and a three-year option (same as annual) are available.
- Large organizations of more than 500 users often have Microsoft 365 and Azure already installed and have an EA.

PRODUCT

What do they sell?

- For upper midmarket to enterprise segments in service-centric ERP, Microsoft sells Dynamics 365 Finance (\$210 per user/mo. with a 20-user minimum or \$30 per user/mo. for subsequent app when purchased with another app). Microsoft also has a new Finance premium offering (\$300 per user/mo.) that provides xP&A capabilities.
- Other Dynamics 365 module options include Dynamics 365 HR, which supports employee recruitment & retention, benefits administration, training, performance reviews, and change management; and Dynamics 365 Project Operations, which unifies projects across sales, resourcing, project management, and finance teams. Both can be bought for an additional \$30 per user/mo. as a subsequent purchase to any Dynamics 365 module.
- See [Dynamics 365 pricing](#), and [Licensing 101](#).

Strengths

- + **AI automation:** Supports predictive analytics and automated transaction processing.
- + **Customer-driven innovation:** Integrates customer feedback from surveys, advisory boards and innovation hubs.
- + **Partner ecosystem:** Broad global partner network that extends its reach and vertical expertise.

Weaknesses

- **Pricing:** Tiered user licensing and reliance on partners can increase total cost of ownership.
- **Customer support:** Inconsistent experiences require properly established escalation protocols and/or support partners.
- **Configuration:** Configuring and managing multi-entity, multi-currency, and intercompany process is complex.

MICROSOFT PARTNER PLAYBOOK

How do they compete against SAP?



- Sells Dynamics 365 Finance with partner IP to fill industry and/or horizontal capabilities.
- Positions Dynamics 365 Finance to complete the Microsoft stack (Microsoft 365, Azure, and so on). Starts small in an organization with the base module before positioning additional modules (Dynamics 365 Finance Premium, Dynamics 365 HR, and/or Dynamics 365 Project Operations).
- Sells Dynamics 365 Finance along with Power Platform (Apps, Automate, BI, and Pages) to provide business applications and a platform, and Microsoft Viva to obfuscate weaknesses of Dynamics 365 HR.
- Highlights AI leadership (Copilot Studio, Azure AI and OpenAI) as well as Assistant capabilities in Microsoft 365 Copilot and Autonomous agent capabilities across first- and third-party agents (partner developed). First-party agents include Account Reconciliation Agent for Dynamics 365 Finance and Time and Expense Agent for Dynamics 365 Project Operations.

SAP PLAYBOOK

How should we compete against them?



- Identify outcomes that the client is looking for related to design-to-operate, source-to-pay, and recruit-to-retire across the financial management, spend management, and employee experience management continuum.
- Simplify the business case and demo to align to key value drivers to avoid SAP being perceived as big and complex. Phase in modules, users, licenses, and implementation services over time to avoid appearing more expensive.
- Highlight how SAP Business AI Platform unifies deep business process context, trusted data, and enterprise-grade connectivity and governance to create AI agents and applications that understand how a business runs and scale safely across the organization.
- Educate prospects on how Joule brings assistants and agents together in a unified workspace that turns intent into autonomous action, enabling clients to run end-to-end workflows across their business.

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Competing against Dynamics 365 Finance in Finance-Centric ERP with SAP Cloud ERP

Why SAP wins

How to differentiate

- | | |
|---|--|
| 1 Financial management strength and vision | Highlight capabilities such as consolidation of multiple global entities (including integration with non-SAP systems), treasury & cash management, and native integration with SAP Analytics Cloud xP&A. |
| 2 Services and indirect procurement | Extensive capabilities for procuring and managing third-party resources and assets included in the solution, with options to add additional spend management capabilities through SAP Ariba and Fieldglass. |
| 3 Leadership in human capital management | Showcase S/4HANA Cloud and SAP SuccessFactors capabilities across the recruit-to-retain process to illustrate that the employee experience is more than just payroll. |
| 4 Enablement of continuous improvement | SAP Signavio provides service-centric enterprises with a means of establishing and observing process benchmarks in key values to manage services for customers, facilitating the adoption of industry best practices. |
| 5 Extensibility to grow | Showcase how SAP Business AI Platform unifies deep business process context, trusted data, and enterprise-grade connectivity and governance to create AI agents and applications that understand how a business runs and scale safely across the organization. |

Why they win

Objection handling – how to counter

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|---|--|
| 1 Check-the-box FMS capabilities | Dynamics 365 Finance is a good, but not great, financial management solution. It lacks advanced treasury and cash management capabilities, and its xP&A capabilities are new and unproven. |
| 2 Familiarity of user interface | Dynamics 365 does look and feel like Microsoft 365; however, user interfaces (UI) for Dynamics 365 Finance often provide too much flexibility. Customers will often spend time and money (with implementors) to tailor views. SAP's UI is role-based and designed to provide the right information to the right person and role. |
| 3 Integration to Microsoft | Dynamics 365 Finance is integrated with Dynamics 365 and Power Platform. Power Platform has a connector-based strategy and requires all data to reside in Microsoft Dataverse on Azure. If your business requires data to span multiple hyperscalers, this may not work. |
| 4 Retire committed Azure spend in EA and MCA-E | Yes, Microsoft does provide Azure credits for Azure spend related to Dynamics 365. However, if the enterprise application does not have the depth to solve the business problems a company has, the company will be paying for an application, platform, and infrastructure that doesn't do the job. |
| 5 Innovation | Microsoft assistant and agent vision is in transition as Microsoft Copilot for Finance was moved to Microsoft 365 E7 Bundle, and 1 st party agents only include Account Reconciliation Agent and Expense Agent as most assistant and agent capabilities will require support from partners. Share SAP's vision for the autonomous enterprise and educate buyers about Joule assistant and agentic capabilities available. |

Got what you were looking for?

Go ahead and win your deal!

Need more information?

Keep reading – click through or
jump to what you want next:

- [!\[\]\(aca6fcc8bd95e8255b9ea1b1d08ef300_img.jpg\) D365 Finance at-a-Glance](#)
- [!\[\]\(0083087c61cec498ac803a4aec5bb1bd_img.jpg\) D365 Finance Go-to-Market Strategy](#)
- [!\[\]\(2e94242fda9f31152eb2b29146bfce46_img.jpg\) D365 Finance Sales Motions](#)
- [!\[\]\(680c68b4e62fe5ec9774c1168e904fbf_img.jpg\) D365 Finance Pricing](#)
- [!\[\]\(0012cbbec5c5a1cf6c111135ad58ebc0_img.jpg\) D365 Finance Strengths and Weaknesses](#)
- [!\[\]\(87f26857125315836dd413b717a8c1ec_img.jpg\) D365 Finance Deployment Options](#)
- [!\[\]\(615ec7e7e0f3dea1f20d356589f114f8_img.jpg\) D365 Finance Customer Insights](#)
- [!\[\]\(4de969360fdb54eeda9f21a7a7358827_img.jpg\) D365 Finance Win Themes](#)

Dynamics 365 Finance at-a-Glance

Highlighted Industries

Key Focus

- Financial Services
- Government
- Health

Partners

Top Microsoft Dynamics Business Application Service Providers as identified by Forrester Include:

- **Leaders:** Avanade, EY
- **Strong Performers:** PWC, Infosys, HCL Technologies, Deloitte, KPMG, Tata Consultancy Services (TCS)
- **Contenders:** Hitachi Solutions, Sonata Software, DXC Technology, IBM, Cognizant, HSO, Wipro

Customer Mix

2,100+ customers; 600+ in production: as of Nov '09
(most current as Microsoft does not normally disclose these numbers)

Key reference stories ([D365 Finance](#))

- [Financial Services](#)
- [Government](#)
- [Health](#)

Industry Analyst Perspective

Gartner

- [Magic Quadrant for Cloud ERP Finance](#)

D365 Finance Go-to-Market Strategy

Sales Strategy

Referral through IT

- CIOs, often with Microsoft-skilled staff, default to Microsoft Cloud option
- Retire Azure Annual Spend Commitments as part of volume agreement (EA, MCA-E)
- Often give MSFT first right of refusal for Business Applications and Platform
- Position innovation through assistant (Microsoft 365 Copilot) and autonomous agents (Microsoft Scout)

Land-and-expand existing end user and developer install base

- Productivity and Collaboration (Microsoft 365: Teams, Office 365, Mobility and Security)
- Cloud (Azure PaaS, IoT, IaaS)
- Business Platform (Power Platform: Copilot Studio, Apps, Automate, Fabric, BI, Pages)

Sell on as-needed basis

- By user/month
- By module (D365 Finance, D365 Finance Premium, D365 Project Operations, and so on)
- By ISV partner IP to fill industry and solution gaps



SAP should expect Microsoft to be an incumbent in their accounts and have direct-line access to IT.

Sales efforts will have to be sensitive to IT and factor in sunk costs with existing Microsoft technology and resources (IT staff).

Microsoft positions platform to sell more apps while SAP positions apps to sell more platform.

Microsoft and its partners focus on usage and adoption first and then grow adoption of modules and users in an account

D365 Finance Sales Motions

Sales Motions

Guidance

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| <p>1. Upgrade from CRM: Positions upgrade to D365 Finance module.</p> | <ul style="list-style-type: none">■ Focus the conversation on commerce rather than sales force automation: Position overall quote-to-cash processes in the context of sales and operations. |
| <p>2. Net-new ERP: Positions D365 Finance and D365 Project Operations.</p> | <ul style="list-style-type: none">■ Frame value in the context of total cost of ownership and delivery capabilities: Street prices for D365 Finance are attractive, but exclude partner solutions and implementation cost. |
| <p>3. Stand-alone FMS: Positions D365 Finance module.</p> | <ul style="list-style-type: none">■ Phase ROI and costs to accommodate stand-alone FMS implementations: Scope named users correctly in the context of D365 Finance, D365 Finance Premium, D365 Finance Premium, and D365 HR modules and partner IP. |
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Dynamics 365 Finance Pricing

Dynamics 365 Finance License	Functionality	Cost per user, per month
Full User Finance	Full functionality	\$210 USD
Full User Finance Premium	Full functionality	\$300 USD
Team Member	Limited functionality	\$8 USD
Operations Activity	Transactional tasks	\$50 USD
Operations Device	For shared devices	\$85 USD

Dynamics 365 Finance: 20-user minimum = \$50,400 per year or \$151,200 per three years.

Dynamics 365 Finance Premium: 10-user minimum Finance Premium +10-user minimum Finance = \$61,200 per year or \$183,600

D365 Finance Pricing Scenarios

Scenario A

The Optimized Split Team

Scope

Advanced corporate planning and performance management, while the rest of the team manages day-to-day transactions.

Cost build

10 users: Finance Premium

Base: $10 \times \$300 = \$3,000/\text{mo}$

10 users: Finance Standard only

Base: $10 \times \$210 = \$2,100/\text{mo}$

Total Monthly Cost

\$5,100 / month; \$61,200 / year

Billed annually

Scenario B

The Full Premium Rollout

Scope

Central accounting and finance department requires unified access to budgeting, AI forecasting, & extended analytics.

Cost build

20 users: Finance Premium

Base: $20 \times \$300 = \$6,000/\text{mo}$

Total Monthly Cost

\$6,000 / month; \$72,000 / year

Billed annually

Scenario C

The Lean Standard Baseline

Scope

Base package with no advanced planning.

Cost build

20 users: Finance

Base: $20 \times \$210 = \$4,200/\text{mo}$

Total Monthly Cost

\$4,200 / month; \$52,400 / Year

Billed annually

D365 Finance Strengths and Weaknesses

Strengths

- **Commercials:** Sold as an add-on to the existing Microsoft EA and/or MCA-E, enabling clients to retire annual committed Azure spend with ERP.
- **Sold by solution, module, and/or employee:** Modularized solution enables adoption of offerings on an as-needed basis.
- **Technology leadership:** As a tools and technology vendor, Microsoft leads with innovation, which includes AI through Azure AI and Microsoft 365 Copilot, Copilot Studio and Business Platform with Power Apps, Automate, Fabric, Power BI
- **Incumbency within enterprise:** Both end users and developers already have Microsoft developer, collaboration, and productivity tools, and are familiar with the tools.
- **Selling breadth rather than depth:** Microsoft gets in the door by having 'check-the-box' capabilities and upselling shiny new objects (Copilot Studio, Microsoft Foundry, Microsoft Scout, Agent Reconciliation Agent) to set its innovation narrative.

Weaknesses

- **Only runs on Azure:** Dynamics 365 is designed to run only on Microsoft Azure and as a result does not support multi-cloud ERP.
- **Enterprise licensing costs often higher than pilots:** Users often find that trial versions do not provide full functionality, and additional licensing is often required.
- **General availability (GA) of Copilots and Agents varies:** Unlike Microsoft 365 Copilot, which is GA, D365 Copilots and Agents vary by function.
- **Still under-penetrated in large enterprises:** Most large enterprise usage is in productivity and collaboration, cloud, and D365 CRM.
- **Provide basic capabilities:** FMS lacks planning, treasury, and expense management, and its D365 Finance Premium (xP&A) offering is unproven.



Cloud ERP is superior to Dynamics 365 Finance in purchasing and accounts payable, accounts receivable, fixed asset accounting, project accounting, costing, and billing.

Only Cloud ERP provides a native in-memory platform designed for Cloud ERP's data model and process. D365 FSCM's in-memory option requires two OLAP and OLTP tables, increasing cloud consumption and impairing real-time performance.

SAP and Microsoft both offer multiple deployment options (cloud, hybrid, and on-premise).

D365 F&SCM Deployment Options

Option	App Residency	Data Residency	License Model	Details
Cloud	Microsoft data center	Microsoft data center	Subscription by user	Provides solely cloud deployment
Cloud and Edge	Primarily at Microsoft data center, but certain workloads can reside on-premise or be partner-hosted	Most in Microsoft data center, but some select data is on-premise or partner-hosted	Subscription by user	Synchronized to Microsoft cloud
Local Business Data	On-premise or partner-hosted without replication to the Microsoft cloud (that is, Lifecycle Services)	On-premise or partner-hosted	Perpetual or subscription	Requires intermittent synchronization with Microsoft cloud (that is, Lifecycle Services) for license auditing and software deployment purposes. Now available.

D365 Finance Customer Insights

D365 Software Typical Customer Profile

D365 Sweet-Spot Customers

- Mid to upper midmarket, although making inroads into \$1–2B revenue cloud-first enterprise market
- Subsidiaries of larger organizations as part of two-tier ERP strategy
- Strength in Europe and North America
- Financial Services, Government, Health

SAP Customer Win Examples vs. D365 Finance

Utilize [SAP Experience Agent](#) to find customer references

Why Does SAP Win?

- **Strong extended ERP across industry and solutions:** Strength in finance provides a reliable financial backbone for a global enterprise to run in real time.
- **SAP is a trusted partner and expert in business processes and customer needs:** Industry, domain, and solution expertise to tailor solutions to industry- and business-specific needs, along with global reach.
- **Depth of customer base:** Cloud ERP offers a wider range of customers across more industries and use cases than Dynamics 365 Finance, across all deployments.

Why Does SAP Lose?

- **Microsoft incumbency/tech stack:** Almost all enterprises utilize Microsoft technology for office productivity, or tools and technology (developer platforms, databases, and so on), thus enterprises stay with Microsoft as it is 'good enough' and allows them to achieve volume discounts on enterprise agreements.
- **Ease of use:** 'Looks and feels like Office' continues to be the refrain as Microsoft's O365 becomes more embedded, making it easier for employees in the enterprise to accept Microsoft technology.
- **Cost:** Microsoft's pricing and packaging allows enterprises to buy at a user or role basis, lowering cost-per-user and enabling Microsoft to sell to more users for less in the enterprise.

D365 Finance Win Themes

Win Themes When Facing Microsoft D365 Finance with Cloud ERP:

1 Use discovery to get buy-in on budget and timeline in the context of solution needs and user requirements:

- Start small and grow adoption of products and users over time, as otherwise SAP may appear expensive to Microsoft prospects.

2 Simplify talk track so you qualify into each capability (accounting, finance, project management):

- Do not open with breadth for breadth's sake as this may appear complex to a Microsoft prospect looking for a Staples 'easy button' answer.

3 Select logos that reflect business capabilities and prioritize them to focus in on value drivers:

- References should support the proof points in the discovery process, RFI, and demo.

Objection Handling vs. Microsoft D365 Finance in Cloud ERP Competes:

Objection

SAP Response

"We already use Microsoft (Microsoft 365: Office 365, Teams, Mobility and Security, and Azure) and have an Enterprise Agreement with volume discounts."

Aside from volume discounts for purchasing more with Microsoft, is Microsoft the right partner for your digital transformation?

"Microsoft's user interface (UI) is familiar and easier to use."

Yes, Microsoft's UI is standardized across its Microsoft Cloud, but UI views often need to be customized by partners

"Microsoft is cheaper."

Microsoft's base ERP might be cheaper at first glance, but it relies on partner ISV and industry solutions, which increase total cost.

"Microsoft is good enough."

Microsoft has basic 'check-the-box' capabilities, but lacks advanced FMS and/or ERP.

Thank you.

Contact information:



CMI Contact

- [Wilson Rothschild](#) (Lead Analyst Microsoft)



Social/Collaboration

- [CMI on Work Zone](#)



Additional CMI Documents

- Find more on [CMI CompeteONE](#)

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